



Mr. Kishore, 40 years old, is a factory head at Just Eat Ltd, a large cake brand. He has been working here for the last 15 years. His current salary is Rs. 7 lac p.a. However after paying taxes, he gets Rs.6 lac. He expects an annual increase in salary by 5%. He plans to retire at the age of 60 and wants to plan for the same. Let us see how he can plan using the 3 methods we have discussed.

1. PERCENTAGE SAVINGS METHOD

In the given case, Mr Kishore has an annual salary of Rs. 6 lac at the age of 40. As per the percentage savings method, he will save 40 % of his income i.e, Rs. 2,40,000. He will invest this amount for 20 years. Let us assume that the rate of return is 12% p.a. So this amount will grow to Rs. 23,15,110. To get this, we will simply use the compounding formula and grow Rs. 2,40,000 at 12% for 20 years.

At the age of 41, his salary will be Rs. 6,30,000 due to the annual increment @ 5%. As per the method, he will save 41% of Rs. 6,30,000 i.e. Rs. 2,58,300. He will invest this amount @ 12% p.a for 19 years to grow the amount to Rs. 22,24,676. This process will continue annually until he reaches 60 years of age. Ultimately, all the amounts invested for all these 20 years will accumulate to give a sum equal to Rs.3,27,83,871 at the age of 60. Given below is the calculation for each year.